

Groups with good trend	Groups with bad trend	Groups showing 3 deficits for common
Aviation	Business and office equipment	Coal
Cigars	Can manufacturing	Engineering and building
Flour, bread, cereals	Canned goods	Land and hotel
Soft drinks	Cotton goods	Leather
	Meat	Shipbuilding
	Rayon	Shipping services
	Restaurant	Wool
	Retail grocer	
	Shoes	
	Snuff	
	Vegetable oils	
	Distillers ¹	
	Gold ¹	

¹ Downward trend very slight.

Students of the market will recognize certain relatively popular groups in the poor-trend list and two unpopular groups in the good-trend list. The chief value of this type of study may be to generate a healthy scepticism as to the dependability of a mere arithmetical upward trend as a basis for bullish enthusiasm.

The following compilation (Table V) covers the five subgroups showing the highest ratios of earnings to December 1938 price in each of the three test periods, as compared with those showing the *lowest* ratio of assets to price.

TABLE V.—"CHEAP" GROUPS (ON EARNINGS BASIS) COMPARED WITH "DEAR" GROUPS (ON ASSET BASIS)

			Ratio to 1938 common stock value of			
			Assets, %	Earnings, %		
				1934–1938	1936–1938	1938
High earnings-ratio group ¹	48	907.2	116.7	10.9	11.9	9.0
Low asset-ratio group ²	25	1,404.9	14.9	4.7	5.2	5.2

¹ Includes: brewers and distillers, milk, misc. tobacco, motion pictures, retail drugs, retail grocers, sugar, vegetable oils.

² Includes: drug mfrs., confections, radios, etc., and soft drinks.